



A-Level Economics

7136/1 Paper 1 Markets And Market Failure
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0 [Set A — Moderate]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Levels of response marking grid — 25-mark questions

The following generic grid should be used when marking all 25-mark questions (questions 0 4, 0 8, 1 0, 1 2 and 1 4 on paper 7136/1).

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

Section A

Context 1

Total for this Context: 40 marks

The UK Soft Drinks Industry Levy

- 0 1** Using the data in Extract A (Figure 1), calculate the three-firm concentration ratio in the UK soft drinks market. Give your answer, as a percentage, to one decimal place. **[2 marks]**

Calculation:

$$29.4\% + 16.2\% + 8.7\% = \mathbf{54.3\%}$$

Response	Max 2 marks
For the correct answer (54.3%) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

- 0 2** Explain how the data in Extract A (Figure 2) show that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. - clearly explains how this data is evidence that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour.	4 marks
- includes evidence that shows that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. - unclear explanation of how this data is evidence that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour.	3 marks
- includes evidence that shows that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. - limited or no explanation of how this data is evidence that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour.	2 marks
- includes evidence that does not clearly show that the UK Soft Drinks Industry Levy has been effective in changing producer behaviour. - weak or no explanation.	1 mark

Relevant issues include:

- explanation that reformulation by producers is a change in behaviour
- the share of reformulated drinks by volume rose from 22% in 2018 to 55% in 2023
- sugar intake per person per day fell from 27.4g to 17.9g — a reduction of around 35%
- producers reformulated products to avoid the higher threshold of the levy, which also reduced overall sugar consumption
- SDIL revenue has not fallen proportionately (£240m in 2018 → £398m in 2023) because the extension of the levy has broadened its base

- 0 3** Extract B (lines 4–6) states that 'The government hopes the levy will correct market failure by reducing a significant external cost.' With the help of an externalities diagram, explain how a tax on sugary drinks can correct market failure arising from negative externalities of consumption. **[9 marks]**

Levels of response marking grid — 9-mark questions

The following generic grid should be used when marking all 9-mark questions in Section A (questions 0 3 and 0 7).

Level of response	Response	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram.	4–6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested diagram:

A negative consumption externality diagram is expected. Axes labelled price / quantity. Downward-sloping demand curve ($MPB = MSB + \text{external cost wedge}$), or the more common format showing MPB above MSB. The $MSC = MPC$ curve is upward-sloping. The free-market equilibrium is at $MPB = MPC$ with quantity Q_1 , while the socially optimal quantity is Q^* (at $MSB = MSC$) with $Q^* < Q_1$. The welfare loss triangle lies between Q^* and Q_1 . A tax equal to the marginal external cost shifts MPC upward to $MPC + \text{tax}$, reducing consumption toward the socially optimal level.

Relevant issues include:

- definition of market failure and of negative externalities of consumption
- identification of external costs: NHS costs of £6bn per year (Extract B), dental decay, type-2 diabetes, obesity-related morbidity
- free market over-consumes ($Q_1 > Q^*$) because consumers ignore external costs
- welfare loss triangle — deadweight loss in free market equilibrium
- tax internalises the externality by raising private cost (MPC) towards social cost (MSC)
- consumer incidence: higher price leads to lower quantity demanded (law of demand)
- producer response: reformulation (Extract A) shifts supply and widens the welfare gain

- importance of elasticity of demand — if demand is inelastic, price changes have a smaller quantity effect but raise more revenue which can fund public health spending

- 0 4** Extract C (lines 3–5) states that 'taxation is most effective when combined with complementary interventions...' Use the extracts and your knowledge of economics to assess whether indirect taxation is the most effective way for governments to reduce consumption of demerit goods such as sugary drinks. **[25 marks]**

Areas for discussion include:

- definition of demerit goods and market failure arguments
- how indirect taxes (specific or ad valorem) correct externalities — diagrammatic analysis
- evidence of success of the SDIL: 35% fall in sugar intake (Extract A), rapid reformulation, moderate revenue retention
- the regressive nature of indirect taxation — disproportionate impact on lower-income households
- price elasticity of demand for demerit goods — often addictive/habitual, making taxes less effective at changing consumption but more effective at generating revenue
- comparison with alternative policies: mandatory labelling, advertising bans (especially to children), reformulation targets, minimum pricing, portion-size regulation
- behavioural economics: framing, defaults, social-norm messaging — lower fiscal cost, preserves choice, may be more equitable
- evidence that voluntary reformulation without the credible threat of regulation has historically been slow (Extract C)
- government failure risks: difficulty in setting the optimal tax rate, lobbying by industry, unintended consequences (cross-border purchases, substitution to other demerit goods)
- case for a policy mix rather than reliance on any single instrument

Evaluation / judgement:

- effectiveness depends on the specific demerit good (elasticity, addictiveness, availability of substitutes)
- indirect taxation is often necessary but rarely sufficient — reformulation response is only possible for certain products
- strongest answers recognise that the choice is rarely tax versus no-tax, but the appropriate mix of instruments
- ethical considerations about paternalism and distributional equity are legitimate considerations alongside allocative efficiency

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section A

Context 2

Total for this Context: 40 marks

The UK fast food market and obesity

- 0 5** Using the data in Extract D (Figure 4), calculate the percentage change in the average weekly spend on takeaways between 2013 and 2023. Give your answer, as a percentage, to one decimal place. **[2 marks]**

Calculation:

$$(8.70 - 4.80) / 4.80 \times 100 = \mathbf{81.3\%} \text{ (increase)}$$

Response	Max 2 marks
For the correct answer (81.3% (increase)) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

- 0 6** Explain how the data in Extract D (Figure 4) suggest that rising availability of fast food is associated with rising obesity. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that rising availability of fast food is associated with rising obesity - clearly explains how this data is evidence that rising availability of fast food is associated with rising obesity.	3 marks
- includes evidence that shows that rising availability of fast food is associated with rising obesity - unclear explanation of how this data is evidence that rising availability of fast food is associated with rising obesity.	2 marks
- includes evidence that shows that rising availability of fast food is associated with rising obesity - limited or no explanation of how this data is evidence that rising availability of fast food is associated with rising obesity.	1 mark
- includes evidence that does not clearly show that rising availability of fast food is associated with rising obesity. - weak or no explanation.	0 marks

Relevant issues include:

- fast food outlets per 100,000 population rose from 78 (2013) to 102 (2023) — a 30.8% increase
- adult obesity rate rose from 24.9% to 28.4% over the same period
- weekly spend on takeaways has almost doubled (£4.80 → £8.70), indicating rising demand
- both increased supply (outlets) and increased expenditure suggest a broadening of exposure to fast food
- correlation is not causation — other factors such as lifestyle, exercise, income, and food prices also matter — credit candidates who note this

0 7 Extract E (lines 9–11) states that 'Consumers face imperfect information...'
With the help of a diagram, explain how information failure can lead to the
over-consumption of fast food.

[9 marks]

Suggested diagram:

A negative consumption externality / information failure diagram is expected. The key distinction is between perceived MPB (the demand curve under imperfect information) and the true MSB (lower, reflecting the true long-run health costs). The MPC curve is upward-sloping. Free-market equilibrium is where perceived MPB = MPC, giving quantity Q_1 . Socially optimal quantity Q^* is where true MSB = MSC. $Q_1 > Q^*$, generating a welfare loss triangle.

Relevant issues include:

- definition of information failure — consumers lack accurate information about private long-run health costs
- distinction between information failure (consumers' misperception) and externalities (third-party costs) — fast food involves both
- marketing, especially of HFSS products to children, reinforces over-consumption
- behavioural biases: bounded rationality, present bias (short-run taste vs long-run health), addictive properties of some ultra-processed foods
- over-consumption persists even where consumers are aware, because of self-control problems
- evidence in the extracts: fast-food density correlates with obesity; deprivation concentrates the harm in lower-income areas
- welfare loss: private over-consumption imposes costs on individuals (health) and on society (NHS, lost productivity)

- 0 8** Extract F (lines 8–10) states that 'personal responsibility, rather than further regulation, should be the focus...' Use the extracts and your knowledge of economics to evaluate the view that government intervention to reduce the consumption of unhealthy food is justified. **[25 marks]**

Areas for discussion include:

- the case for intervention: market failure from externalities, information failure, and bounded rationality
- £6.5bn direct NHS cost and £27bn wider economy cost of obesity (Extract E)
- distributional concerns: fast-food density is concentrated in deprived areas, affecting those with least capacity to bear the health and economic consequences
- evidence of policy effectiveness: HFSS placement rules (Oct 2022), advertising watershed (Oct 2025), local planning restrictions — moderate evidence of behavioural change
- the case against: libertarian view that consumption is a private matter; informed adults should not be subjected to paternalism
- government failure: risk of regulatory capture, unintended consequences (e.g. cross-border purchases, switching to other unhealthy foods not covered by regulations), administrative cost
- alternative policies: education, voluntary industry codes, fiscal incentives for healthy substitutes, subsidies for fruit and vegetables, public health campaigns
- comparison with sugar tax (Context 1): targeted, revenue-raising, driver of reformulation
- role of behavioural nudges: defaults, labelling, calorie-display, portion-size signals

Evaluation / judgement:

- the choice is rarely between "intervention" and "no intervention" but about the type, scope and design of intervention
- effectiveness depends on the responsiveness of consumers and producers, evidence base, and enforcement
- well-designed, targeted interventions can improve welfare; poorly-designed interventions risk government failure
- strong answers reach a supported judgement about the balance of arguments, recognising legitimate ethical and distributional concerns

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section B

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

Essay 1 — Total for this Essay: 40 marks

- 0 9** Explain, with the aid of a diagram, how a profit-maximising monopoly determines price and output in the short run. **[15 marks]**

Areas for discussion include:

- definition of monopoly — a single seller, high barriers to entry, price-maker
- diagram showing downward-sloping AR (demand) curve and MR curve lying below it
- upward-sloping MC curve (or U-shaped ATC with MC passing through the minimum)
- profit maximisation at the output where $MC = MR$, giving output Q_m
- price determined by reading up from Q_m to the AR curve, giving price P_m
- supernormal profit shown by the rectangle $(P_m - ATC \text{ at } Q_m) \times Q_m$
- allocative inefficiency: $P_m > MC$, so welfare loss compared with allocatively efficient output

The use of relevant diagrams to support the analysis should be taken into account when assessing the quality of the candidate's response to the question.

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 0** Evaluate the view that the costs of monopoly to consumers always outweigh its benefits, so that competition authorities should intervene whenever a firm gains substantial market power. **[25 marks]**

Areas for discussion include:

- costs of monopoly: allocative inefficiency ($P > MC$), productive inefficiency (X-inefficiency from lack of competitive pressure), reduced consumer surplus, distributional impact (transfer from consumers to shareholders)
- welfare loss diagram comparing monopoly and perfect competition outcomes
- benefits of monopoly: economies of scale can reduce average costs; dynamic efficiency from R&D; financed by supernormal profits (Schumpeter); natural monopoly arguments in utilities
- the theory of contestable markets — what matters may be potential entry, not the number of existing firms
- real-world examples: CMA interventions (Sainsbury's/Asda merger block 2019; Microsoft/Activision review; housebuilding 2024 study); regulated monopolies (Ofgem, Ofwat); technology firms
- competition policy tools: merger control, anti-cartel enforcement, market investigations, price caps, break-up powers
- risks of over-intervention: regulatory capture, chilling effect on innovation, enforcement cost, government failure
- difficulty of defining "substantial market power" — measurement and judgement problems

Evaluation / judgement:

- the word "always" in the statement is critical — credit candidates who challenge absolute claims with qualified judgements
- intervention is more clearly justified where market power is persistent, barriers are high, and consumer harm is evident; less so in dynamic, contestable markets
- strong answers weigh static efficiency losses against dynamic efficiency gains

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 2 — Total for this Essay: 40 marks

- 1 1** Explain why public goods and negative externalities can lead to market failure in a free market. **[15 marks]**

Areas for discussion include:

- definition of market failure — misallocation of resources where $MSB \neq MSC$
- public goods: non-rivalry and non-excludability
- free-rider problem: private firms cannot profitably provide goods where non-payers cannot be excluded
- missing market: free-market provision is zero or below the socially optimal level
- examples of public goods: national defence, street lighting, lighthouses, flood defences, broadcast TV signals
- negative externalities: third-party costs not reflected in market transactions ($MSC > MPC$)
- diagram with MSC above MPC , free market equilibrium at $Q_1 > Q^*$, welfare loss triangle
- examples: pollution, congestion, noise, antimicrobial resistance, passive smoking
- over-production and over-consumption of goods with negative externalities in a free market

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 2** Evaluate the view that government intervention is always necessary to correct market failures arising from public goods and negative externalities. **[25 marks]**

Areas for discussion include:

- the case for intervention: market failure means free markets misallocate resources; externalities impose real third-party costs; public goods are under-provided
- policy instruments: direct government provision (public goods), taxation to internalise externalities (Pigouvian tax), tradable permits (e.g. EU ETS), regulation (emissions limits), subsidies for positive externalities, Coasian bargaining where property rights are well-defined
- the case against: government failure — information asymmetries, regulatory capture, unintended consequences, administrative costs
- private solutions: charitable provision of quasi-public goods (parks, museums, lighthouses historically), moral suasion, industry self-regulation
- Coase theorem: in a world with low transaction costs and well-defined property rights, private bargaining can resolve externalities without government action
- the distinction between pure public goods and quasi-public goods (fireworks, broadcasting with subscription)
- real-world examples: carbon pricing (EU ETS), UK plastic bag charge, congestion charging, council-provided street cleaning
- distributional considerations: interventions often have regressive effects; design matters

Evaluation / judgement:

- the word "always" in the statement is key — markets can sometimes coordinate solutions without intervention
- intervention is more justified for pure public goods and large external costs where private solutions fail
- strongest answers distinguish between types of market failure and argue for targeted, well-designed intervention rather than blanket policies

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 3 — Total for this Essay: 40 marks

- 1 3** Explain, with the aid of a labour market diagram, how the introduction of a national minimum wage above the free-market equilibrium wage affects a competitive labour market. **[15 marks]**

Areas for discussion include:

- definition of a competitive labour market: many buyers and sellers of labour, wage-taking firms
- free-market equilibrium at the intersection of labour demand (derived from MRPL) and labour supply, giving wage W_e and employment L_e
- a minimum wage (NMW) set above W_e creates a wage floor
- diagram showing NMW above W_e , excess labour supplied (L_2) and reduced labour demanded (L_1); unemployment = $L_2 - L_1$
- employment falls from L_e to L_1 along the demand curve (law of demand for labour)
- higher wages for those who retain employment; income redistribution from employers to workers
- discussion of labour demand elasticity — if inelastic, employment loss is smaller
- practical examples: UK NLW in April 2024 (£11.44), spill-over effects, sectoral impacts

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 4** Evaluate the view that a national minimum wage is the most effective way for the UK government to reduce poverty and income inequality. **[25 marks]**

Areas for discussion include:

- the case for NMW: raises pay for 2.7m workers, targets the low-paid, narrows the bottom of the wage distribution, low fiscal cost
- monopsony argument — in non-competitive labour markets, NMW can raise wages without reducing employment (or even increase employment)
- the case against: risk of disemployment, particularly affecting young and low-skilled workers; does not reach households with no earner (pensioners, disabled, unemployed)
- evidence: UK NMW has not produced the employment losses predicted by classical theory; Gini coefficient has nonetheless risen ($0.340 \rightarrow 0.363$) because top incomes have grown faster
- alternative policies: progressive direct taxation, Universal Credit, tax credits, education and training, rent controls, wealth taxes
- in-work benefits vs. higher wages — different distributional and incentive effects
- the difference between relative poverty and absolute poverty; NMW affects primarily the former
- importance of labour market structure — monopsony vs. competitive markets
- distributional impacts on consumers (via pass-through to prices) and on profits

Evaluation / judgement:

- NMW is effective at the bottom of the distribution but cannot alone reduce overall inequality
- a policy mix is usually needed: NMW + taxation + transfers + skills
- effectiveness depends on labour market structure, elasticities, enforcement, and complementary policies
- strongest answers reach a supported judgement based on evidence

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

END OF MARK SCHEME